

Mark Scheme (Results)

Summer 2026 (Predicted)

Pearson Edexcel GCE

In Economics B (9EB0)

Paper 03: The Economic Environment and Business

PREDICTED PRACTICE PAPER — HARD

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General Marking Guidance

- All candidates must receive the same treatment. Examiners must mark the first candidate in exactly the same way as they mark the last.
- Mark schemes should be applied positively. Candidates must be rewarded for what they have shown they can do rather than penalised for omissions.
- Examiners should mark according to the mark scheme not according to their perception of where the grade boundaries may lie.
- There is no ceiling on achievement. All marks on the mark scheme should be used appropriately.
- All the marks on the mark scheme are designed to be awarded. Examiners should always award full marks if deserved, i.e. if the answer matches the mark scheme. Examiners should also be prepared to award zero marks if the candidate's response is not worthy of credit according to the mark scheme.
- Where some judgement is required, mark schemes will provide the principles by which marks will be awarded and exemplification may be limited.
- When examiners are in doubt regarding the application of the mark scheme to a candidate's response, the team leader must be consulted.
- Crossed out work should be marked UNLESS the candidate has replaced it with an alternative response.

Section A — Question 1

Case-study context: Brazil — commodity exporter navigating currency volatility, monetary tightening and US–China trade tensions.

Question Number	With reference to Extract A and using a PPF diagram, analyse the opportunity cost associated with expanding Brazil's agricultural output.	Mark
	<i>Indicative content</i>	
1(a)	Knowledge/understanding 2, Application 2, Analysis 2, Evaluation 2 • Diagram (required): PPF with agricultural output on one axis and, for example, forest/ecosystem services or manufacturing on the other. Movement along the PPF from a point closer to the forest axis to one closer to agriculture shows the trade-off; alternatively an outward shift representing mechanisation. • Opportunity cost = the value of the next best alternative foregone. • Extract A: agriculture ~25% of GDP and half of merchandise exports; 11,500 km²/yr primary forest loss 2019–22 as the frontier expanded. • Opportunity cost is multi-dimensional: (i) lost ecosystem services (carbon sequestration, biodiversity, water cycle); (ii) lost subsistence and indigenous land use; (iii) future tourism and bioprospecting revenues. • Mechanisation (Extract A) can shift the PPF outward, partially offsetting the trade-off by raising yield per hectare. • Evaluation: opportunity cost depends on (i) productivity of converted land; (ii) whether lost ecosystem services are priced; (iii) enforcement — the 2023 fall in deforestation shows the trade-off is not fixed; (iv) short-run vs long-run — mechanisation can shift PPF out over time.	(8)

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Level 3	6–8	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen. Arguments are developed, using logical, coherent chains of reasoning. A balanced awareness of competing arguments.

Demonstrating application (AO2) in responses

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Question Number	With reference to Extract B and Figure 1, discuss the likely impact of the depreciation of the Brazilian real on Brazil's current account.	Mark
	<i>Indicative content</i>	
1(b)	Knowledge/understanding 2, Application 2, Analysis 3, Evaluation 3 • Current account = trade in goods + services + primary income + secondary income. Depreciation raises import prices in local currency and lowers export prices in foreign currency. • Extract B: BRL moved from 4.00 (2019) to 5.82 (2024) vs USD — approximately 31% depreciation. Figure 1: current account narrowed from –3.5% of GDP (2019) to –1.3% (2023), widened slightly to –1.7% (2024). • Improvement channel: commodity exports invoiced in USD — depreciation raises BRL revenue per tonne, incentivising supply; lower USD prices raise foreign demand; import compression as BRL-denominated import prices rise. • Offsetting channel: import content of exports — soy/beef production uses imported fertiliser, fuel and machinery, so costs rise. J-curve: short-run worsening as import values rise faster than export quantities adjust. Primary income deteriorates if USD-denominated external debt rises in BRL terms. • Marshall–Lerner condition: current account improves if $PED_x + PED_m > 1$. Brazil's commodity exports face moderate global PED but Brazil has market power in soy — volume gains may depress world prices, dampening dollar revenue gains. • Evaluation: depends on (i) elasticity of exports and imports; (ii) origin of depreciation — if driven by fiscal concerns, confidence effects may dominate; (iii) time horizon (J-curve); (iv) behaviour of trading partners. • Judgement: the recent data in Figure 1 show the current account has not consistently improved despite substantial depreciation — suggesting other factors (commodity cycle, capital flows, import cost pass-through) are dominant.	(10)

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Question Number	Discuss the effectiveness of monetary policy as a tool for controlling inflation in an emerging economy such as Brazil, using evidence from Extract C and Figure 1.	Mark
	<i>Indicative content</i>	
1(c)	Knowledge/understanding 2, Application 2, Analysis 4, Evaluation 4 • Transmission: interest rates → borrowing/saving → AD → inflation via output gap. Exchange rate channel: higher rates attract capital, appreciate currency, lower import-price inflation. Expectations channel: credible CBs anchor expectations. • Extract C and Figure 1: Selic raised from 2.00% (Mar-21) to 13.75% (Aug-22) — a 1,175-basis-point tightening. Inflation peaked at 12.1% (Apr-22), fell to 4.5% by mid-2024. BCB target 3% ±1.5pp. • Evidence for effectiveness: clear correlation between aggressive tightening and inflation fall; early move ahead of the Fed enhanced credibility; BCB is legally independent. • Limitations in emerging-economy context: (i) exchange rate channel undermined by capital-flight risk — BRL depreciated 4.03 → 5.82 despite high rates; (ii) food and energy shocks are exogenous and not responsive to rates (2024 pickup driven by food); (iii) tightening constrains growth — contributed to 13.2% unemployment in 2021; (iv) fiscal dominance undermines monetary tightening if deficits widen; (v) exchange-rate pass-through is high in commodity exporters. • Evaluation: depends on source of inflation (demand-pull vs cost-push), credibility of the central bank, fiscal–monetary coordination, exchange-rate regime, size of the output cost tolerated. • Supported judgement: monetary policy has been effective in Brazil against demand-pull and imported inflation but is constrained when cost-push or fiscal factors dominate.	(12)

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Question Number	With reference to Extract D and Figure 2, evaluate the extent to which the escalation of US–China trade tensions since 2018 has been a net benefit to the Brazilian economy.	Mark
	<i>Indicative content</i>	
1(d)	Knowledge/understanding 4, Application 4, Analysis 6, Evaluation 6 • Knowledge: trade diversion vs trade creation; comparative advantage; concentration risk; terms of trade; Dutch disease; multiplier; forward/backward linkages. • Application: Extract D — China's share of Brazilian soybean imports rose from 46% (2017) to 75%+ (2023). Figure 2: soy exports rose from \$31.2bn to \$58.9bn (+89% in four years). China ≈ ■ of Brazilian merchandise exports. • Macro diagram: AD/AS showing outward shift in AD from higher net exports (X), raising real GDP and the price level. Alternative: a terms-of-trade diagram. • Benefits: export revenue growth (~\$28bn annual uplift in soy alone); multiplier effects in logistics, fertiliser, shipping, rural services; FDI into infrastructure; higher rural employment; improved current account supporting currency; positive terms-of-trade effect during commodity upswing. • Costs/risks: concentration risk — China's ■ share means US–China rapprochement could squeeze Brazilian margins. Dutch-disease pressure on manufacturing. Environmental cost — frontier expansion linked to 11,000+ km²/yr deforestation. Political exposure — risk of future tariffs or sanctions. Underinvestment in human capital and industrial diversification — GDP growth remains modest (2.4% in 2024). • Micro effects: large agribusiness firms have gained materially (margins rose in BRL terms due to depreciation); small farmers face rising land prices; consumers face higher domestic food prices (contributing to the 2024 inflation pickup). • Evaluation: depends on (i) time horizon — short-run benefits clearly positive, long-run concerns about concentration and Dutch disease; (ii) probability and severity of US–China resolution; (iii) Brazil's own industrial and environmental policy — whether rents are reinvested in diversification or consumed; (iv) counterfactual — Brazilian GDP without the trade-tension windfall. • A nuanced judgement — e.g. 'short-run benefits clearly positive but carry structural risks requiring active policy response' — is required for Level 4.	(20)

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Level 2	5–9	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented, but connections between causes and consequences are incomplete. Limited attempt to address the question. Comparisons, judgements or conclusions may be attempted, but are unsupported or generic.

Level 3	10–15	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, developed chains of reasoning, showing understanding of connections between causes and consequences. Arguments are well developed and competing arguments are present although this may lack balance. A conclusion may be attempted but may not show awareness of the significance of competing arguments.
Level 4	16–20	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen and fully integrated to support the argument, well developed and logical, coherent chains of reasoning, showing full understanding of the question. Arguments are fully developed and evaluated. A full awareness of the validity and significance of competing arguments, leading to nuanced and balanced comparisons, judgements or conclusions.

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Section B — Question 2

Case-study context: Shopee (SEA Limited) — dominant Southeast Asian e-commerce platform.

Question Number	Using Figure 3, calculate the compound annual growth rate (CAGR) of Shopee's GMV between 2020 and 2023. Discuss what the trend in group adjusted EBITDA over the same period suggests about the sustainability of Shopee's growth strategy.	Mark
	<i>Indicative content</i>	
2(a)	Knowledge/understanding 2, Application 2, Analysis 2, Evaluation 2 • $CAGR = (78.5/35.4)^{(1/3)} - 1 = (2.2175)^{0.3333} - 1 \approx 30.3\%$. Accept 30–30.5%. Award 2 marks for correct method and answer; 1 mark for correct method with arithmetic slip. • EBITDA trend: −\$1.3bn (2020), −\$2.0bn (2021), −\$0.9bn (2022), +\$0.16bn (2023). Growth was achieved by heavy marketing and shipping subsidies. • Marketing spend cut from \$2.8bn (2021) to \$1.4bn (2023) while GMV continued to rise (\$62.5bn → \$78.5bn). Users are becoming 'stickier', needing less subsidy. • Positive EBITDA in 2023 suggests the platform can be profitable once subsidies are reined in. • Evaluation: sustainability depends on (i) whether GMV growth persists without the subsidy tailwind — 2023 GMV growth of 7% is a marked slowdown vs 76% in 2021; (ii) whether TikTok Shop forces Shopee back into a subsidy war; (iii) whether fee increases (Extract H) are absorbed by sellers or passed to consumers. • Judgement: rapid-growth era was subsidy-driven; transitioning to a profitability phase is sustainable only if network effects resist competitive re-entry.	(8)

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Question Number	Assess the likely impact on Shopee of the intensification of competition from TikTok Shop described in Extract F.	Mark
	<i>Indicative content</i>	
2(b)	Knowledge/understanding 2, Application 2, Analysis 3, Evaluation 3 - Contestability, two-sided platforms with network effects, switching costs, product differentiation, non-price competition, regulation as barrier/facilitator. - Extract F: TikTok Shop entered Indonesia (Shopee's largest market) in 2022; briefly banned Sep-2023; merged with Tokopedia. Extract H: Shopee launched 'Shopee Live' in 2024 to compete directly. - Negative effects: TikTok Shop's social-commerce model is differentiated — entertainment-driven discovery undermines Shopee's search-led model; TikTok–Tokopedia merger combines content advantage with Tokopedia's seller base; risk of market-share erosion and renewed need for promotional spend. - Mitigants: Shopee's logistics moat (Shopee Xpress) is hard for a content-first rival to replicate quickly. Scale: 520m monthly active users supports higher order density and lower unit cost. Regulation has shielded domestic platforms from unfettered cross-border competition. Shopee Live responds in-product. - Evaluation depends on: (i) strength of network effects on each platform side; (ii) regulatory trajectory; (iii) consumer preference for discovery-led vs intent-led buying; (iv) financial staying power — SEA has turned EBITDA-positive but ByteDance can sustain losses indefinitely. - Judgement: TikTok Shop is a serious threat requiring ongoing counter-investment but unlikely to displace Shopee from its leadership position in the short term.	(10)

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Question Number	With reference to Extract G, discuss the likely effect of the depreciation of the Indonesian rupiah and the introduction of the USD 100 minimum price for cross-border e-commerce on Shopee's Indonesian business.	Mark
	<i>Indicative content</i>	
2(c)	Knowledge/understanding 2, Application 2, Analysis 4, Evaluation 4 • Exchange-rate depreciation raises IDR cost of imports and passes through to inflation. A minimum price is a non-tariff barrier — a protectionist measure. • Extract G: IDR depreciated ~9% vs USD in 2024; USD 100 minimum cross-border price threshold introduced 2023; MSMEs employ >60% of workforce. • Rupiah depreciation effects: raises IDR cost of imported goods sold on the platform; if passed through, IDR prices rise — quantity demanded falls (depending on PED); for cross-border USD-priced listings, consumers face a direct ~9% price shock; Shopee earns revenue in IDR but reports in USD — translation drag on reported dollar figures; IDR depreciation raises USD-denominated cost of cloud and logistics capex. • USD 100 minimum price effects: shifts demand toward domestic (IDR-priced) sellers; MSMEs benefit — protected from direct cross-border shipment of low-value Chinese goods; Shopee may gain commission on higher-value baskets; raises prices for consumers relative to free trade (welfare loss); strengthens Shopee's relationship with policymakers and MSME sellers. • Evaluation: depends on (i) depth of Shopee's domestic seller pool (40–50% GMV share implies a deep MSME ecosystem); (ii) whether IDR depreciation reverses; (iii) ability of Indonesian MSMEs to fill substituted SKUs competitively; (iv) counterfactual — without the minimum price, TikTok Shop's cross-border volume would have grown fastest, so the policy disadvantages Shopee's rivals more than Shopee itself. • Judgement: the minimum price may modestly benefit Shopee (handicapping rivals' cross-border model); rupiah depreciation is broadly negative in reported USD terms.	(12)

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Question Number	Evaluate the extent to which Shopee's dominant position in Southeast Asian e-commerce benefits consumers, small sellers (MSMEs) and the wider economies in which it operates.	Mark
	<i>Indicative content</i>	
2(d)	Knowledge/understanding 4, Application 4, Analysis 6, Evaluation 6 • Knowledge: consumer surplus; winner-take-all dynamics on digital platforms; two-sided markets; monopsony power over sellers; productive, allocative and dynamic efficiency; tax revenue; financial inclusion; data/privacy externalities. • Application: Extract E — 7-market Southeast Asian reach; Extract F — estimated 40–50% GMV share; Extract H — commission rates raised from 2% to 6%+; Figure 3 — 520m MAUs in 2023. Indonesia: 283m population, 77% internet penetration. • Consumer benefits: vast product range not available in physical retail (especially rural/island); lower prices from seller competition; logistics reach via Shopee Xpress; financial services (SeaMoney) support financial inclusion; time savings. • Consumer costs: platform dominance may allow gradual price increases; data-privacy concerns; imperfect quality control (counterfeits); attention-extraction via video commerce. • MSME benefits: access to national/regional market without own-infrastructure investment; digital payment rails; analytics and paid ads to find customers; expansion beyond local markets. • MSME costs: platform monopsony power — commissions raised 2% → 6%+, small sellers absorb most of the increase; algorithmic dependence; Shopee's own-label products compete with MSME listings; race-to-the-bottom on pricing. • Wider economic effects: multiplier effects (logistics, payments, packaging); formalisation of informal commerce (aiding tax collection); crowding out of independent retail; FDI and capital formation; productivity gains via digitisation of small-business operations. • Evaluation: depends on (i) strength of competition from Lazada and TikTok Shop in constraining market power; (ii) effectiveness of regulation (antitrust, consumer protection, MSME protection) to limit abuse of dominance; (iii) whether positive productivity and inclusion effects outweigh distributional costs; (iv) time horizon — growth-phase incentives are aligned with users; mature-phase incentives shift toward rent extraction. • A supported judgement — e.g. 'a contested platform ecosystem produces net gains; an unchecked dominant platform risks capturing most of the surplus' — is rewarded at Level 4.	(20)

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